

Piramal Pharma (PPLPHARMA)

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Call: Aug 2023

Piramal Pharma Limited

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7th August , 2023

BSE Limited

P.J. Towers, Dalal Street, Fort,

Mumbai - 400 001

BSE scrip code: 543635

National Stock Exchange of India Limited

Exchange Plaza, Bandra- Kurla Complex,

Bandra (East), Mumbai – 400 051

NSE symbol: PPLPHARMA

Sub: SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015
(‘Listing Regulations’) - Transcript of Conference Call with Investors/Analysts

Dear Sir / Madam,

In continuation to our letter dated 28

th July, 2023 and pursuant to Regulation 30 read with

Para A Part A of Schedule III of the Listing Regulations, please find enclosed the transcript of the Conference Call held on 4

th August, 2023 on discussion of the Q1 FY2024 Results of

the Company. The transcript of the said conference call is also hosted on the website of the Company at

<https://www.piramal.com/investor/piramal-pharma-limited/financial-reports/investor-calls/>

Kindly take the above on record.

Thanking you, Yours truly,

For Piramal Pharma Limited

Tanya Sanish

Company Secretary

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“Piramal Pharma Limited's Q1FY'24 Earnings
Conference Call ”

August 04, 2023

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ANAGEMENT : MS. NANDINI PIRAMAL – CHAIRPERSON , PIRAMAL
PHARMA LIMITED .

MR. PETER DEYOUNG – CHIEF EXECUTIVE OFFICER ,
GLOBAL PHARMA , PIRAMAL PHARMA LIMITED .

MR. VIVEK VALSARAJ – CHIEF FINANCIAL OFFICER ,
PIRAMAL PHARMA LIMITED .

MR. GAGAN BORANA – INVESTOR RELATIONS ,
PIRAMAL PHARMA LIMITED .

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Moderator : Ladies and gentlemen, good day and welcome to Piramal Pharma Limited 's Q1 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Gagan Borana from Piramal Pharma Limited. Thank you and over to you, sir.

Gagan Borana: Good morning, everyone , I welcome you all to our Post Results Earnings Conference Call to discuss our Q 1 FY'24 Results. Our Results Material has been uploaded on stock exchanges and you would like to download and refer to them during our discussion.

On the call today we have with us, Ms. Nandini Piramal – Chairperson, Piramal Pharma Limited ; Mr. Peter DeYoung – CEO of Global Pharma; and Mr. Vivek Valsaraj – CFO of a Company.

Before I proceed with the call, I would like to update everyone that currently we are in the middle of our rights issue for raising capital not exceeding Rs. 1,050 crore. Given this event, we would have to abide by the statutory guidelines as issued by the regulator in regard to our disclosure and external communications. According , we would not be able to share any forward-looking statements nor disclose any further details on the proposed fundraise other than what is share in the LOF during the deal window period. Therefore, I would request everyone on this call to restrict today 's discussion to Q1 FY'24 performance.

Since last evening post declaring our quarterly results, we have received several investor queries and in alignment with the restrictions we have drafted our response to these queries and will share these responses first and later open up the floor for any other questions that you may have. With that I would like to hand over to Ms. Nandini Piramal to share her thoughts.

Nandini Piramal : Good day, everyone and thank you for joining us on our post results Q1 FY'24 Earnings Call.

Starting with the update on the rights issue we have filed the Letter of Offer with SEBI and have also finalized the issue details. The rights issue price has been fixed at Rs. 81 with an entitlement ratio of five shares to every 46 held, the record date was 2

nd August .

Quarter's Performance

During the quarter we have registered a year -on-year revenue growth of 18% delivering revenues of Rs. 1,749 crore. Our CDMO business was aided by continued order flow momentum and Piramal Pharma Limited
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strong execution grew by 17% during the first quarter of the financial year. We are also seeing healthy demand for our recently expanded facilities offering differentiated capabilities. Further we witnessed YoY improvement in demand in our generic API business.

Our complex hospital generics grew by 22% YoY during the quarter primarily driven by robust demand in sevoflurane and contributions from new product launches in the injectible segments.

Our Indian consumer healthcare business has registered YoY growth of 13% driven by power brands and new product launches.

Our EBITDA during the first quarter stood at Rs. 171 crore with an EBITDA margin of 10% compared to 6% in the same quarter last year. The healthy improvement in our EBITDA margin

was on account of strong revenue growth along with cost optimization matches. Also please note our first quarter FY'23 EBITDA had a one -time inventory margin impact of Rs. 68 crore.

Our net debt at the end of Quarter 1 FY'24 is about Rs. 4,700 crore compared to Rs. 4,800 in the last quarter. We repaid some debt in the last quarter.

Historically our H2 has been better than H1 both in terms of revenue and profitability. We

are

working to leverage a good start to the financial year in continuing this momentum to deliver a healthy performance for the rest of the year.

We continue to maintain our high -quality track record of zero OAI's as we successfully closed the USFDA inspection at the Pithampur facility with zero observations. During the quarter we also received an EIR for our Sellersville facility thereby successfully closing inspection.

In the last nine months, five of our facilities have undergone the USFDA inspection and we have successfully closed all of them. Apart from the USFDA inspection, our facilities also underwent regulatory inspections from other global agencies along with audits from our customers which we cleared successfully.

On the ESG front as well maintain progress with the development of our decarbonization plant in accordance with the 1.5 -degree trajectory as suggested by SBTi (Science Based Targets). We are now committed to SBTi and the UN Global Compact. We also adopted a Global Human Development Policy Code of Conduct and Ethics to strengthen our governance.

During FY'23 we had zero fatalities and also improved the gender diversity. We will soon be releasing our sustainability report, in which we will be sharing further details of our ESG initiatives undertaken in FY'23.

Business Specific Highlights

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Moving to business specific highlights, the CDMO. In our CDMO business we witnessed good momentum and order inflows in Quarter 1 FY'24. These incremental orders are a healthy mix of development work involving differentiated capabilities and commercial manufacturing of unpatented molecules. We are seeing encouraging demands for expanded capabilities that went live towards the end of FY'23. We are expanding our capacity expansion for antibody-drug conjugate at the Grangemouth facility which should open in the H2 of this year. And that will help strengthen our position in the ADC market.

Our generic API business which had soft demand in FY'23, is also seeing a pickup over year-on-year in demand. We continue to work towards cost optimizations, strategizing procurement and implementing operational expense initiative to mitigate inflationary pressures and to improve our profitability.

Complex Hospital Business

Moving to the complex hospital business. Our inhaled anesthesia portfolio continues delivering a health performance, mainly led by strong demand for sevoflurane. Our capacity expansion for inhalation anesthesia is on track.

Our intrathecal portfolio in the U.S. continues to command a leading market share. Our brand Gablofen continues to be the #1 ranking: Baclofen pre-filled syringe and vial brand in the U.S. with a market share of 77%.

Also, in the injectable pain segment our brands Fentanyl is a #1 ranking brand in its representative markets of Japan, South Africa and Indonesia.

While we focus to further strengthen our positioning in our existing portfolio, we are also building a pipeline of over 27 injectable products in different stages of development. We launched one new product during the quarter.

We strengthened our CHG management team by appointing Jeffrey Hampton as President and Chief Operating Officer for the CHG business. Jeff has previously worked with Accord Healthcare Inc. and Apotex Inc.

Indian Consumer Healthcare Business:

Moving to our Indian Consumer Healthcare business. Our business delivered a YoY growth of 13% in Quarter 1 aided by growth in power brands and new product launches. Our power brands grew 15% during the quarter and contributed 43% to total healthcare sales.

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We launched 11 new products and three new SKUs during the quarter. We continue to invest in marketing and promotional activities to build strong brands in the market. We have a good reach in general trade and are strengthening

up our presence in alternate channels of distributions

including e-commerce, modern trades and having our own D2C platform Wellify.in.

To summarize I would like to say we had a positive start in the new financial year with healthy revenue growth and improvement in our EBITDA margins. Our CDMO business is witnessing continued order inflows especially for differentiated offering and innovation related work. Our inhalation anesthesia portfolio is also seeing a healthy demand. Further our Indian Consumer Healthcare business is delivering good growth driven by the power brands.

We continued to maintain our best-in-class quality track record and are taking multiple initiatives in the area of ESG. We believe in the growth potential of all our businesses and are accordingly executing in our strategic priorities. Further we are raising capital through rights issues, for which the Letter of Offer has been filed. Our promoters have agreed to subscribe to the extent of 100% of the equity shares offered in the issue, reaffirming their confidence in the underlying strength of our business.

With this I would like to hand over the call to Vivek, our CFO, who will respond to the queries we have received since last evening. Post that we will open the floor for any additional questions that you might have.

Vivek Valsaraj: Good day everyone and thank you to those who shared questions. We will take those first before opening up the floor for the other questions.

Few questions on the CDMO business, reasons for the growth in the CDMO business. The Company witnessed a significant pick up in order bookings in Q4 FY'23 which continued in Quarter 1 FY'24 as well. Healthy demand for innovation related work and differentiated

offerings. And we have been seeing a year -on-year pickup in demand for the generic API business and an encouraging response for the expanded capacities that went live last fiscal. A related question was, is the order book back to normalcy? We have seen a good pickup in the order book in the month of March which has continued in Quarter 1 as well. Our recently opened expansions have witnessed good customer demand.

How is the Phase -3 pipeline looking? We have about 35 plus product in our development pipeline which are in Phase -3. The commercialization by our customers would lead to some important commercial manufacturing contracts for us in the future. We continue to support our customers to advance their development work and are also looking to add more customers. Some of our recent commercial manufacturing opportunities for on -patent molecules is already in public domain.

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Moving on to CHG, there was a question on what are the reasons, primary reasons for growth in this business? The growth was primarily driven by healthy demand for our inhalation anesthesia portfolio and improvement in supplies from our CMO for our injectable pain management products.

There was a question on the quantum of CAPEX spend in FY'24, Quarter 1? The CAPEX was Rs. 147 crore.

There were questions on why there is a lower other income in Quarter 1 FY24 versus Quarter 1 of FY'23? The previous year Quarter 1 has higher FX gains consequent to major currency movements, when U.S. dollar strengthened and that led to a significant FOREX gain. Compared to that in the current quarter we had relatively stable currencies leading to a lower FOREX gain. Excluding this, EBITDA on a comparable basis the June quarter has grown by 55%.

There was a question on reasons for increase in interest cost and what will be the scenario post the rights issue? The increase in interest cost versus the June quarter is due to a combination of both increase in average borrowings to support planned CAPEX and operations and general increase in interest rates, versus the March quarter it is primarily the effect of interest rates.

We will be us

ing a large part of our proceeds for our Rs. 1,050 crore rights issue to reduce the existing levels of debt. This will reduce interest cost going forward. We also expect to complete our rights issue this month, which will help lower our interest cost thereafter.

There was also a question on, please explain the movement in debt levels. So, our net debt has actually reduced by about Rs. 100 crore versus the March quarter. And currently our net debt stands at about Rs. 4,700 crore. As mentioned earlier, a major portion of the rights issue will be utilized for reduction of debt and further we will continue to make judicious choice in our CAPEX spends to control debt, also aided by an improved financial performance.

Rationale for the rights pricing, it has been our endeavour to keep the pricing fair to enable participation by all shareholders. The pricing has also been decided keeping in mind, the regulatory requirements and the general precedence basis guidance by our lead managers to the issue. A detailed FAQ that clarifies several questions on the rights issue proceeds and the modalities will be uploaded on our website this weekend, please do refer to the same.

There was a question, is the Company looking to do any acquisitions after the rights issue? Currently our focus would be more to execute planned CAPEX and ongoing capacities and capabilities at various sites which are witnessing high demand. Our focus will be to execute and commercialize these investments. So, those were some of the questions that we received up front and we can now open the floor for any other questions.

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Moderator : Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Pramod Dangi from Unifi Investment. Please go ahead.

Pramod Dangi : So, like two questions, one is, while your margins have expanded and especially if I remove the other income from last year's first quarter, the EBITDA margin have expanded very good. But the other expenditure also went up by 15%, so any particular reason about the other expenditure?

Vivek Valsaraj : So, Pramod if you look at the total increase in other expenses versus the June quarter, the increase is 15% which includes impact of FOREX movement as well that's about 4%, so excluding that the increase is 11% which is commensurate with an 18% increase in the total top -line between the two periods.

Pramod Dangi : So, last year we had the FOREX gain, this time we had a FOREX loss?]

Vivek Valsaraj : We don't have a loss; we just have a small FOREX gain compared to last year.

Pramod Dangi : And if you can here guide on the profitability, as we are highlighting that we are on the path of

profitability, with a 10% EBITDA margin our depreciation is equivalent to that amount. And then we have the finance cost. So, where we are looking to gain that profitability, is it from the revenue side or is it some cost control, if you can give some highlight on that?

Vivek Valsaraj : Pramod if you have historically tracked our financials our H2 tends to be higher than H1. And therefore, you will see a significant jump in H2 versus H1 both in terms of revenue and profitability. And the primary driver for improvement in margins is the scale at which the business operates, thereafter in H2. So, you will see higher revenues and therefore the benefit of better fixed cost leverage leading to an improvement in margins.

Pramod Dangi : And what will be our capacity utilization as of today if I look at the CDMO and anesthesia business?

Vivek Valsaraj : Pramod, giving one capacity utilization figure across 17 different sites is complex and probably not practical. But what we have done is we have invested in capacities where we have very high demand. So, our API facilities overseas whether it's a high potent API or whether it's t

he

antibody drug conjugates where we are currently investing are the ones where we were short on capacity. Formulations in general, we tend to have reasonably good capacity.

Moderator : Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

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Tushar Manudhane : within CDMO segment just would like to understand how much is the API sales or API contribution?

Vivek Valsaraj : Typically, in our CDMO business and I am referring to a full year sale, our formulations in API is like 55%, 45% ; 55% being API and 45% being formulations.

Tushar Manudhane : And does that change meaningfully on a quarterly basis?

Vivek Valsaraj : Quarterly it would vary depending upon the lumpiness in SKUs but not vary materially.

Tushar Manudhane : And on the CAPEX side largely more or less capacity expansion is done, and we need like as you highlighted in the opening remarks that the commercial benefit is to accrue so the overall CAPEX, how much it would be for FY'24?

Vivek Valsaraj : So, are you referring to an annual CAPEX, see currently we can't make a forward-looking statement on the total CAPEX, Tushar, please bear with us because we are in the deal window period. But as we have said that we are making a judicious CAPEX spent investing on those which we have kind of planned in those areas where demand is high.

Tushar Manudhane : But generally speaking, depreciation, at least maintenance CAPEX, which is equivalent to depreciation, can that be taken as a broad indication?

Vivek Valsaraj : No maintenance CAPEX is normally lower than depreciation.

Moderator : Thank you. The next question is from the line of Ranvir Singh from Nuvama. Please go ahead.

Ranvir Singh: Two, three things, we have been saying that first half is normally lower so that I wanted to understand the cycle, why first half is normally lower than the second half especially in CDMO ? And secondly, not forward-looking but earlier announced CAPEX of that \$157 million, so that the CAPEX has already been spent or part of it remains ?

Vivek Valsaraj : So, firstly if you look at, and your question is on why the skew is more towards H2, there are actually a variety of factors for that which includes the overall cycle time from the receipt of the order till the time it is delivered. It also depends upon the customer's own preference of starting the year and for them the year typically starts in January where they have more orders placed out in January on new budget versus reducing the inventories that they carry when they are in the December quarter.

So, this is a mix of various things, but typically what happens it's the longer cycle time that kind of, by the time you get orders and by the time you execute and by the time you invoice, it gets pushed over towards the second quarter, the second half of the year.

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Second question was on the 157 million of CAPEX that we announced. So, while a part of that has already been done and some of them have gone live, some part of that is still under execution right now.

Ranvir Singh: That part would be spent in '24 or that will stretched further?

Vivek Valsaraj : Independent .

Ranvir Singh: So, can you give me any number there?

Vivek Valsaraj : So, in FY'23 we had a CAPEX of about 118 million versus the total 157.

Ranvir Singh: That Hemmo Pharmaceuticals which we acquired last year, so whether that our revenue is currently that portion of revenue coming from Hemmo Pharmaceuticals?

Vivek Valsaraj : So, Hemmo Pharmaceuticals is a smaller part of the total business. And the integration has been

done and yes, the current revenues do include a part of Hemmo Pharmaceutical, but remember it was also the re part of the previous year as well, so the numbers are com parable to the extent of this

acquisition, and it is contributing . In fact, you may have also heard in the prior call that we did complete a major expansion , to expand the capacities by about 40% to 50% and that has also gone li ve currently.

Ranvir Singh: So, currently at what capacity utilization it would be, just I wanted to understand that what max potential we can expect from this entity?

Vivek Valsaraj : As we said we had just expanded the capacity by about 40% to 50% so that's the capacity available currently.

Ranvir Singh: And in CDMO, the order book last quarter itself you said that we see uptick in order book. But can you give some indication of what size of order book, what kind of order book we have in hand to be executable this year or next year?

Vivek Valsaraj : Ranvir, currently we are in the deal window period, and we can't make specific disclosures on numbers which are not part of the Letter of Offer so please bear with us.

Moderator : Thank you. The next question is from the line of Vinod Jain from WF Advisors. Please go ahead.

Vinod Jain : My question relates to interest cost. While there is sales growth and even some margin expansions this has been almost entirely negated by an increase in interest cost. There is no slide to explain this phenomena, but apparently this must be resultant of high inventory and debtors -
-. Please convey what is being done to erase this phenomena and reverse it?

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Vivek Valsaraj : First Vinod, I think your question was on the increase in interest cost, am I c orrect?

Vinod Jain : Right.

Vivek Valsaraj : So, as we explained earlier the primary reason for increase in interest cost was an increase in our average borrowings and if you are comparing versus the June quarter, the average borrowings did increase, and thi s was primarily to fund some of our CAPEX requirements and some of the working capital requirements during the last fiscal year.

There was also an increase in the average rate of interest as you have been seeing the Fed, the RBI did increase rates over a p eriod of time and the effect of that also came into the P&L leading to an overall increase in interest cost. Having said that, as you aware the primary purpose of our rights issue is to pare down that debt and once the rights issue process is completed at the end of this month these proceeds will be utilized towards reducing the debt. So, that will be one of the factors which will help reduce the overall interest cost. And we also clarified that our overall investments in CAPEX and OPEX is being aligned with the overall fiscal performance thereby helping to maintain a certain level of debt which will help reduce the overall cost of interest.

Vinod Jain : The only thing is the interest cost s have almost double d, I mean the explanation given would it justify the increase by almost double digit or is there also an element of increase in debtors and inventory?

Vivek Valsaraj : So, while there is some increase in working capital and that is primarily because of an incr eased inventory which we are carrying for strategic reasons. The explanation given with respect to the overall movement in debt and interest rates does explain it. And post right s issue you will start seeing from Quarter 3 onwards reduction, a meaningful r eduction in the overall interest cost. And overall debtors have not increase d, they are actually reduced or in terms of days are in line with what it has historically been.

Moderator : Thank you. The next question is from the line of Shubham Shukla from Voyager Capital. Please go ahead.

Shubham Shukla : I had two questions, one around the inventory provision we had created in Quarter 3, so any update on those \$4 million inventory from the Biotech Company which we had created?

Vivek Valsaraj : So, Shubham the provision was not with respect to inventory, but it was with respect to a receivable from a

Biotech Company and the process is ongoing to try and recover the money as of date .

Shubham Shukla : And do we still hold those inventor ies with us?

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Vivek Valsaraj : Yes.

Shubham Shukla : And second question, mostly on the debt side which is currently Rs. 4,700 like you said. And I can recall from our previous con- calls we wanted to bring it down to the level of 2x to our debt to EBITDA and I u nderstand as we are under the process of Rs. 1,050 crore rights issue. So, any guidance or anything around this when can we expect this 2x debt to EBITDA level?

Vivek Valsaraj : Shubham, I don't recall us making a specific guidance of our debt levels being at two times the EBITDA , but having said that once the rights issue proceeds is done you will see that the overall debt to EBITDA ratio will meaningfully improve . And as our overall fiscal performance improves, over a period of the next couple of quarters and thereafter this ratio will also start showing an improvement. But I can't make a specific guidance, please bear with us as I said we are in a deal window period right now.

Shubham Shukla : Just on the percentage increase in additional average borrowing this quarter you have done, compared to previous quarter and year -on-year?

Vivek Valsaraj : No so our gross debt has actually reduced, it has actually reduced by about Rs. 195 crore during the quarter.

Shubham Shukla : No like you said the interest cost has gone up year -on-year basis like its doubled and the reason is, additional borrowings on your average re borrowing needed for like working capital and other stuffs?

Vivek Valsaraj : So, Shubham are you comparing versus the June quarter.

Shubham Shukla : Yes, on quarter -on-quarter and like year -on-year basically.

Vivek Valsaraj : So, it's gone up about 200 basis points versus the June quarter and about 90 basis points versus the March quarter. This is at the time when the interest rates had started picking but as you are aware in many of the geographies there has been some stability , but of course you will have to wait and see how that pans out.

Shubham Shukla : No, my question is what's the average , like you said that we have taken newly average borrowing like this quarter, the reason for interest cost up is you have taken more additional average borrowings and there is an increase in interest cost, right interest rate. So, like I am trying to understand the percentage increase in the average borrowing this quarter?

Vivek Valsaraj : So, the average increase in our borrowings versus the June quarter is about Rs. 1,300 crore higher versus March quarter there is no increase in borrowing.

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Moderator : Thank you. The next question is from the line of Kunal Khundania from DSP Asset Managers. Please go ahead.

Vivek Ramakrishnan : Just one clarification on the interest cost, is there a component of foreign currency debt which is, where the rates have gone up even more steep that is hurting you? And if you could give us a breakup of foreign currency versus the INR debts that will be useful?

Vivek Valsaraj : About 60% of our debt actually resides outside of India and that's foreign currency, but managed locally, paid locally. And yes, we have seen an increase, so the increase that I referred to also pertains to increase in the overall rates in the foreign currency debt as well.

Moderator : Thank you. The next question is from the line of Harsha from Dimensional Securities. Please go ahead.

Harsha : My question pertains to our gross block, in FY'23 we have gross block of nearly Rs. 9,500 crore against which we did revenue of around Rs. 7,000 crore odd . So, just want to understand excluding the additional capacity the expansion in which we are taking, which we are going to do going forward excluding that what is the revenue, what is potential

from the existing gross

block, because at 0.8, I believe our asset turnover are extremely low, so just wanted to understand from existing capacity what is the kind of revenue which we can do.

Vivek Valsaraj : So, just to clarify firstly Shubham I think the overall gross block as you are aware comprises of both the tangible assets as well as intangible assets. The intangible assets include two components, one is the component of the total brands that we acquired and of course these get amortized over a predefined life and it also includes the component of goodwill. If you had to break up our total gross block, half of it comes from tangible and half of it comes from intangible assets. So, that's the total breakup so you need to kind of look at this total fixed assets when you actually look at the intangible assets primarily are brands pertaining to the complex hospital generic and the consumer products business.

Overall, in terms of what the future revenue from these assets will be again would become a forward -looking statement so I would avoid going in that direction. But I think this should help , probably respond to your question.

Harsha : What is the policy regarding amortization of the intangible assets currently?

Vivek Valsaraj : So, it depends on the brand, each of the brands is assessed for its useful life and it could vary from maybe 10 years, 20 years, 5 years depending upon what's the total estimated useful life of that particular brand.

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Harsha : And one thing I am worried about is , as you mentioned that half of the assets in our book are

intangible assets, but at the end of the day it is the money which we have paid out of our bank, whether we have acquired a business or a brand. So, with all these assets sitting in our balance sheet and given that we are operating at 0.7 or 0.8 turnover, what will be the journey towards higher ROE because these numbers at the end of the day will continue to pull your ROE downwards. So, just wanted to get an idea on that.

Vivek Valsaraj : So, let me just first explain this principally to you and then thereafter of course clarify the question. So, essentially if you look at it and look at what we have done in the last couple of years, 1) We acquired a lot of brands and 2) We did a lot of CAPEX. Brands primarily in the products business and CAPEX in the CDMO space; post which there was this impact of COVID because of which our overall business did take an impact and we were not able to realize revenues to the full potential.

As we move ahead, we will be sweating these assets and brands more, which will help improve the overall ratios. So, the denominator as it stands today is on a higher side which is not necessarily seen in the full potential of revenues that comes from these assets which is why you will have to kind of look at this over a period of time to see the overall improvements in the asset turnover ratio.

Harsha : Alright so without delving into numbers I would believe that on the existing basis of revenue we can still do higher revenues compared to what we have done --?

Vivek Valsaraj : Correct.

Moderator : Thank you. The next question is from the line of Aditya Grover, an individual investor. Please go ahead.

Aditya Grover: My question is regarding the CHG business. In from the sevoflurane last year, we did around Rs. 1,000 crore that means basically we are doing 50% of CHG business from this one particular product. So, I want to understand what is the market price here and can we grow rapidly here?

Vivek Valsaraj : Sevoflurane so if you look at the overall market size of inhalation anesthesia as per IQVIA data, the global size is about \$1 billion of which sevoflurane is about 80% so if we ask you, \$800 million is a global market size for sevoflurane. And in terms of trend, sevoflurane is growing faster than

the other inhalation anesthesia product, so this is all what we can say on the market size of sevoflurane. Currently in terms of demand which you are seeing for sevoflurane, I can say at least we are seeing demand much higher than what we can supply. So, as we said in our call and our presentation as well our focus is to expand our capacity so that we can meet the growing demand.

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Aditya Grover : And coming to our CDMO innovative business, when we say we have the order book of \$62 million so that is executable for one year or for two years how is this order book structured?

Vivek Valsaraj : So, order book typically can be some of it is executable within the year, some of them could also spill over to the years ahead Aditya.

Nandini Piramal : But the \$62 million is our integrated order so these are orders that will cover more than one site. Our total order book is much larger but given we are in the deal window; we can't actually disclose the size.

Aditya Grover: And our CHG consumer products business is EBITDA positive or still we are running net -to-net there?

Nandini Piramal : No, it's EBITDA positive.

Aditya Grover: And the last question on the scientist part I have, when we are running a discovery or development business what is the number of scientists we have there?

Nandini Piramal : I think we have about 650 scientists across.

Aditya Grover: So, my question is, if we want to scale this business, so if we see the large players right in the CRO or discovery business, they have large like 1000s or 3000 plus scientists, so when we want to scale this business employees is a strength here. So, how are we planning to build here?

Because if we want to enter the value chain like go more share of innovative business then how are we looking this, because with 600 scientist I think it is a quite less number when you compare with bigger peers here.

Peter DeYoung : So, I would answer this question and the largest part of our growth in the innovator business would be in the clinical development and on patent commercial segment which will be slightly later than you would say in the CRO FTE model which is in the discovery segment. And in that model, it's much more about being able to help our clients with the tech transfer, scale up and eventual registration validation and commercial registration of their molecules. So, on that business it's a little bit of a different business model than the CRO business model that you described which we also participate in, but from a materiality standpoint most of our revenue profitability in growth is coming from the on-patent development and commercial support and less from the CRO discovery which is FTE based as you described. We see more barriers to entry and more dependable elements in this business because switching cost we think are higher.

Aditya Grover: And coming to the generic pharma we do a CDMO generic pharma what are things, because generally there is always a pricing pressure here, right and you said in the commentary that you are seeing good traction and good pickup in the CDMO space, and you have larger chunk in the Piramal Pharma Limited
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generic side. So, can you give some light what is happening here like in the demand side, how it is picking up? And how do you see that this year gone by?

Peter DeYoung: So, first as an overall trend I think we have shared in our Invest or materials that we have been doing a long-term pivot and increased mixed innovator business which I just described in the answer to your earlier question. So, we do see and that's becoming an increasing share of our business going forward. That being said we do still see meaningful potential out of our API generic business. And over the last year, we did a lot of work to build additional customers into our portfolio and knowi

ng how that works if you want to hunt for a new customer with an existing API, they you have to take validation batches, they have to update their filing. And so, the uptick we are seeing this year is largely due to the work done in the prior year in terms of onboarding new customers its now materializing into some amount of incremental volumes. And we think that is the primary driver behind the increases the efforts of done new customized position from the existing portfolio in the past let's say 12 to 18 months.

Moderator: Thank you. The next question is from the line of Nirali Shah from Ashika Group. Please go ahead.

Nirali Shah: My one question is that in terms of CDMO business, can you please throw some light on the late phase molecules in the clinic and the potential timeline on commercialization. If I can recall you had 34 molecules in Phase-III earlier, so can you give some update on that?

Nandini Piramal: I think we have 35 plus molecules now in Phase -III, I think those will commercialize over the next two to three years.

Nirali Shah: So, is there any commercialization that we see this year?

Peter DeYoung: It's hard to make forward-looking comments. I think to whatever extent our clients has put information into the public domain you can locate that to what they have communicated, it's difficult in the deal period and also with our confidentiality agreements to disclose it ourselves.

So, you can find a couple in the net, but we are not really in the position to share.

Moderator: Thank you. The next question is from the line of Bharat Gupta from Fair Value Capital. Please go ahead.

Bharat Gupta: I have just one question with respect to the CDMO business. So, in the last previous calls we have seen that there has been some sort of a delay with respect to the funding which was there from the ins titutions out there. So, has there been any structural change because frankly speaking the interest rates are on higher side and there are liquidity issues out there. Despite it we are seeing a good amount of order inflows which are coming in place. So, has there been any kind Piramal Pharma Limited

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of a turnaround which we have observed out there in the developed markets which are leading out to good amount of order inflows.

Peter DeYoung: I would say that the order inflow increase that we saw from our clients in the fourth quarter that ended last year and the first quarter that just ended now a large amount of that has been with customers that had already committed to work with us at our sites. And while they had delayed certain instances of ordering due to financial limitations ultimately their products were in proceeding, and they did have the money and they did then place the orders. And so that I ag affect affected us unfortunately t hrough much of last year, but at some point, when these products are succeeding in the clinic and in the marketplace, they do have to make the reorders and they reach ed those points, and a lot of that growth was in that area.

I would say tha t the second point is we are seeing a continuation of new customer additions but at a modest pace, not at a dramatic pace. And that is continuing to happen, and we are seeing that, but I think all customers are being careful on prioritization of what they spend and where. And so, I think we are seeing the benefits of a lot of our work to stay close to our key customers and make sure we are focusing on key customers that have good data and good financing and that started to play out in Q4 and Q1.

Bharat Gupta: Just a question further on the Indian Consumer Business, so previously we have been able to maintain like advertisement and promotion spending and ratio of near about 18% to 20% of sales. So, are we keeping on track like we are maintaining it, or we are focusing more on the profitability side?

Nandini Piramal: I think we are doing bot

h, we are trying to and as the scale grows the percentage of advertising in a way almost follows right. And that kind of goes into EBITDA, that's how we are managing to do, to have EBITDA positive and I think that's what we want to continue doing.
Moderator : Thank you. The next question is from the line of Dhara Patwa from SMIFS Limited. Please go ahead.

Dhara Patwa: I just had one question, Pfizer's plant in U.S. is hit by tornado and there was lot of restocking for the hospitals injectables. So, are we gaining anything on that front since we also have a lot of hospital injectable basket in our portfolio?

Peter DeYoung : So, we have been obviously, its tragedy that affected that plant in that location and we are very heartened to hear that no one was hurt. And we have actually been in touch with the different market participants, and this is our understanding that while the warehouse was hit, there is not viewed to be a major shortage in the market in general . And the number of products that would be solely sourced there was considered a few. We have a limited portfolio that would overlap with that and to the extent that were to materialize we are poised to take advantage, but based
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on whatever we can tell from the FDA shortage interactions for the marketplace we are not seeing for the products that we can provide a dramatic change there.

Moderator : Thank you. The next question is from the line of Harsh Bhatia from Bandhan Mutual Fund. Please go ahead.

Harsh Bhatia : Just two or three quick clarifications in terms of the foreign debt aspect, you are saying 60% to 70% of that is outside of India , but gets serviced within India that's what I got in the earlier comments . Is that the case that you are servicing the debt in INR so basically the INR depreciation -- rates hike is sort of a double -edged sword for the Company as a whole. I am just trying to have clear thoughts over here.

Vivek Valsaraj : So, Harsh, the debt is based outside India, and it's serviced from outside India it is not serviced from India it is serviced locally from the geographies where the debt was taken.

Harsh Bhatia : As a broader thought process if we were to think about the antibody drug conjugate market as a whole. So, whatever our internal thinking is thought process is, and whatever we are getting a feedback is that the number of players or the supply capacities are very limited in the western markets as of now, I think so Piramal, Wuxi, Lonza these are the very handful of players in the ADC market as of today . But the demand sort of continues to outgrow the supply. So, what is the thought process in that market, how are we seeing the overall environment for the ADC market?

Nandini Piramal : I think our understanding also reflects this as you said that's why we are actually putting in the big expansion into our Grangemouth facility which will open in the second half.

Harsh Bhatia : And can you throw some light on this new CHG product that we have launched during the quarter, I mean I am not asking on the pipeline per se but the new product we had just launched in the first quarter, in the CHG business?

Peter DeYoung : It's modest contribution to revenue, we mentioned it because we want to indicate when our pipelines moves and it is the modest contributor to revenue in the region and it's progressing, but I would say the majority of the revenue growth is coming from the innovation in the period that we just reported. We continue to have other elements in our pipeline which we are progressing, and we are expecting to contribute in future quarters. We can't give forward - looking comments for all of the reasons we mentioned earlier , but it's on the period that just ended while the launch was nice, it was near the end of the quarter, and it was market size is smaller compared to inhalation .

Harsh Bhatia : But

it tends to be under the inhalation portfolio as a whole?

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Nandini Piramal : This was the injectable.

Vivek Valsaraj : Injectable pharmaceutical, so in the U.S.

Moderator : Thank you. The next question is from the line of Vivek Gupta, an individual investor. Please go ahead.

Vivek Gupta : There are a couple of questions from my side. So, I have seen that management is bit aggressive to grow the top-line. But there is no focus on growing the bottom -line. That is the first question.

And I also see that management is saying that will pay the debt post this rights issue subscribed , but this is just mere 25%, less than 25% of the outstanding debt. So, what are the plans to be debt free and what are the plans to pay down debt for the remaining amount? Just seeing the bottom -line I think being an investor I am not at all happy with the kind of performance the Company has been posting. So, that is another question I want an answer to.

Vivek Valsaraj : So, Vivek, firstly your points with respect to focus on top -line versus bottom -line, I think our intent is very clear that we want to grow top -line as well as grow bottom -line as we have always

maintained. If you look at the performance of this quarter and if you look at the real intrinsic performance on a comparable basis our bottom -line has improved and our operating margins have also improved.

The overall debt position as we have stated will reduce in the first instance by rights issued , but thereafter our focus will be to kind of reduce the debt as we keep improving our overall financial performance. It's also important to acknowledge that the overall debt did go up during the period when we were doing certain investments for meeting our objectives of expanding capacities and capabilities in those areas where there was demand. Unfortunately, at that point in time the business did also see an operating performance impact due to the pandemic and the overall geopolitical conflict that arose thereafter. But having said that we continued our investments , because we believed that there was an opportunity, and we did not want to miss the bus when the opportunity came in. And that's the reason the overall debt was at a higher level. Now we are paying down the debt in the first instance and as performance improves, you will see that our overall debt to EBITDA ratio will be within permissible or acceptable limits.

Vivek Gupta : So, what is the target management has set for themselves to be debt free, there should be some target, right?

Vivek Valsaraj : As we said please bear with us, currently we can't make that disclosure which is forward -looking and not part of the Letter of Offer.

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Vivek Gupta : The next question is, I see that it's just less than one year with the demerger from Piramal Enterprises , I see management has come up with the rights issue in the first year of the listing itself. So, why didn't the management opt the route of preferential issue and we just keep on bloating the equity?

Vivek Valsaraj : So, the overall decision with respect to the entire method or the tool to be adopted for raising was discussed and deliberated at the board. And we felt that the most judicious way to do this considering the overall time the turnaround and the fact that we could allow a fair participation to all shareholders , we thought rights issue was the best way to go forward.

Vivek Gupta : So, why not the preferential routes, sorry I didn't get that part?

Vivek Valsaraj : So, from an overall timeline standpoint it wouldn't have matched with what our overall requirements were. So, this was the best suited in terms of timelines.

Vivek Gupta : The next question is, I see that there are lot of other expenses which have been rising on quarter -to-quarter basis . So, I see there are marketing cost

s which have been mentioned and there is a big umbrella which you have quoted down in the balance sheet and the results stating that these are other expenses. So, why can't and being investor when I read the results, why can't I get a segregation of the extra expenses which you are saying. And why we have been so frugal in the marketing as we are not growing the bottom -line at all . Why can't we reduce our expenses there?

Vivek Valsaraj : So, if you are referring to the overall promotion and marketing expenses then as we have stated that we have been doing a significant spend in the media for our consumer product business. We have in fact been doing aggressive spend there so that we could boost top line , the results of which has been seen over the last couple of years. With respect to your request for breakup of information, if you are referring to the March '23 Annual Report then all the details with respect to other expenses and breakup is available in the schedules there. But if you have any specific question, please feel free to reach out to Gagan and we will be happy to respond to that.

Vivek Gupta : Actually, I have tried reaching out to Piramal a lot of times , but eventually there is no communication which has been done , so let me try it again. But being an investor, I think there is nothing which the management is doing as of now for the investors. The rights issue ratio as well as the pricing is something which is not in favor.

And I would request management to seriously think about growing the bottom-line instead of top line . And this is such a pain rather than -- planning to be debt free, because I think for quarter -to-quarter basis we will be getting on to con-calls and we will be stating that H1 is bad and H2 is good, but eventually the same story will unfold for coming quarters as well. So, that's it from my side.

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Moderator : Thank you. Ladies and gentlemen that was the last question for today. I would now like to hand the conference back to the management for their closing comments.

Vivek Valsaraj : Thank you everyone. We hope that we were able to answer most of your questions. In case if you have any follow -up questions or any clarifications that you would need, please feel free to reach out to me and I would be happy to respond. Thank you once again and have a good day and the weekend ahead .

Moderator : Thank you. On behalf of Piramal Pharma Limited, that concludes this conference. Thank you all for joining, you may now disconnect your lines.

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Call: Oct 2025

"Piramal Finance Limited Q2 FY26 Earnings Conference Call"

October 17 , 2025

MANAGEMENT :

MR. ANAND PIRAMAL – EXECUTIVE CHAIRMAN
MR. JAIRAM SRIDHARAN – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. RUPEN JHAVERI – GROUP PRESIDENT
MR. JAGDEEP MALLAREDDY – CHIEF EXECUTIVE OFFICER , RETAIL LENDING
MR. YESH NADKARNI – CHIEF EXECUTIVE OFFICER , WHOLESALE LENDING
MR. VIKASH SINGH LA – CHIEF FINANCIAL OFFICER
MR. RAVI SINGH – HEAD, INVESTOR RELATIONS & STRATEGY

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Moderator: Ladies and Gentlemen, Good Day and Welcome to the Q2 & H1 FY 2026 Earnings Conference Call of Piramal Finance Ltd.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

The results materials are available on exchanges and the company's website and you may refer to them during the discussion.

Please note that today's discussion may include certain forward -looking statements which must be viewed in conjunction with the risks and uncertainties that the company faces. These statements are based on management's current expectations and are subject to uncertainty and changes.

On the call today, we have with us Mr. Anand Piramal – Executive Chair man, Mr. Jair am Sridharan – M.D. and CEO, Mr. Rup en Jhaveri – Group President, Mr. Jagdeep Mal lareddy – CEO, Retail Lending, Mr. Yesh Nadkarni – CEO, Wholesale Lending, Mr. Vikash Sing hla – CFO and Mr. Ravi Singh – Head , Investor Relations & Strategy.

I now hand the conference over to Mr. Anand Piramal for his comments . Thank you and over to you, sir.

Anand Piramal : Good afternoon, everyone and thank you for joining us today. This is a significant moment for us , our first Earnings Call as Piramal Finance Limited following the merger of Piramal Enterprises with Piramal Finance in September.

With this transition, my father, Mr. Ajay Piramal, has moved on from his role as the Chairman of this Company and continues to guide us as the Chairman of the Piramal Group. I want to take a moment to acknowledge his remarkable journey from his beginnings in textiles in the mid -80s to founding, scaling and transforming the pharmaceutical and financial services businesses over the last 40 years . Under his stewardship, the combined market cap of our finance and pharma businesses has grown nearly 210x since 1992 versus 22x for NIFTY50 , delivering a 17% CAGR for our investors. More than the numbers, he has deeply shaped our values, culture and purpose. I want to thank him for his leadership and look forward to his continued wisdom and guidance in the future.

Today, I feel privileged to lead Piramal Finance at what I believe is a pivotal moment. We are amongst India's fastest growing upper layer NBFCs with a total growth book of Rs.86,000 crores. We are privileged to have served over 5 million customers, more t han the population of that of New Piramal Finance Limited

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Zealand, Singapore and Norway, and disbursed over 2.5 million life -changing loans or high -impact loans across the underserved segments in areas such as affordable housing and business loans and microfinance.

With the structured reduction of the legacy real estate book to less than 6% of our total AUM and our high -tech plus high -touch model and a strong team, we have, I believe, the foundation to deliver a balanced outcome in growth, profitability and risk over the next 3 -5 years and beyond.

We continue to invest strategically, expanding branches and embedding AI and analytics across operations with an ambition to double our AUM to more than 1.5 lakh crores in three years by FY28. Our priority in the next few years is to grow profits steadily while achieving a sustainable ROAUM

north of 3% in steady state.

With that, I will hand over to our new CEO and M.D. – Jairam and his team to share the detailed financials and outlook.

Jairam Sridharan : Thank you, Anand. Hello, everyone.

As Anand highlighted, as a company, we are introducing today a framework for value creation and long-term alignment with our shareholders. If you look at Slide # 3 in our presentation, you can see the framework clearly laid out, the framework of :

- Growth
- Profitability

tability

- Predictability

These are the three drivers of value creation for Piramal Finance in our view :

- Superior AUM growth
- Improving profitability towards our steady state targets
- Improving predictability of our risk and earnings trajectories.

To support these value drivers, we are building a future -proof AI -native company through a set of initiatives that we call Piramal.ai. You should expect to be updated on this blueprint regularly in the quarters ahead.

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Growth driver:

On the growth driver, which is the first value driver, we are targeting doubling of our AUM in three years to more than Rs.1.5 lakh crores by FY28.

If you look at Page # 4, you can see that we are progressing steadily on this dimension of growth with strong tailwinds on both disbursements and AUM growth.

Profitability:

On profitability, I would point you to Slide # 5. Our aspiration is to eventually deliver a return on AUM of more than 3% as Anand mentioned with a target AUM to equity of 4. 5x to 5x. As you can see here, our trajectories on OPEX, PPOP, ROAUM and AUM -to-equity are all strong and are aligned well towards these long -term goals that we have laid out.

Predictability:

On predictability, I would refer you to Slide # 6. As you can see on the right -hand side, our consol PAT has now been steadily growing for the last seven quarters after a prior period of intense volatility. We expect this journey of steady growth and ROAUM expansion to be predictable and to deliver steady earnings and stable risk.

In September this year, we unveiled Piramal. ai, our enterprise AI strategy. You should refer to Slide #7 for progress on this strategy.

As we disclosed a month ago, we currently have about 45 scaled and live AI use cases at this moment.

As shown on the slide, we see five key impact areas -- Underwriting outcomes getting better, productivity getting better, growth staying very strong, customer experience improving and software development getting bigger, better and quicker to help us build more. In Q2 FY26, we have made strong progress on all the drivers of our value -creation framework.

Piramal Finance delivered a profit after tax of Rs.327 crores in the quarter, up 101% YOY. The negative drag of our legacy business continues to soften every quarter, resulting in our Growth business PBT of Rs.344 crores being almost the same as our consol PBT of Rs.330 crores.

In our retail business, disbursements grew very strongly by 36% year -on-year. This drove retail AUM growth, also by 36% year -on-year coincidentally. With wholesale 2.0 AUM up 43%, our Growth AUM was overall up 37% year -on-year and consol AUM was up 22% year -on-year. So, on the whole, this has been a quarter of 22% AUM growth and a 100% PAT growth.

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Cost of borrowing was an important story during the quarter and it dipped by 19 basis points on a QoQ basis and fell below 9% after a five-quarter period where it was elevated above that level.

Growth business NIM was up 10 bps Q oQ.

Asset quality was stable across retail and wholesale businesses, both in terms of delinquency as well as in terms of credit costs.

Led by the continued improvement in retail OPEX to AUM and Jagdeep will speak about this in a minute, growth business ROAUM continues to improve steadily. ROAUM was 1.7% in Q2 versus 1.5% in Q1 and 1.4% in FY25.

As shown on Slide # 13, at the end of FY25, we shared our five targets for the year on AUM, AUM mix and total consol PAT. With the first half of FY26 numbers in the bag, we are well on track to meet all these targets.

As you are aware, PFL stock is currently in blackout period after the merger of PEL with PFL and

allotment of PFL shares to PEL shareholders. We expect listing of PFL stock in early November, subject to the final regulatory approvals that we are awaiting. It typically takes 40 -45 d

ays since the

record date of the transaction. Our record date was 23rd September.

With this, I hand over the call to our CEO of Retail Business , Jagdeep Mallareddy to talk through our performance there.

He will be followed by Vikash who will discuss our wholesale business and financial performance respectively. Jagdeep ?

Jagdeep Mallareddy : Thank you, Jagdeep.

The strong start for our retail lending business in Q1 further gained pace in Q2. We had our lifetime high disbursements in Q2 FY26. At Rs.10,954 crores, disbursements were up 36% Y oY.

Our flagship mortgage business comprising affordable housing loans and LAP grew by 37% Y oY and crossed the Rs.50,000 crore s mark in AUM. Mortgages account for 56% of the total AUM of the company and 68% of retail AUM.

On a QOQ basis, the disbursement momentum accelerated in UBL and digital loan businesses, while salaried P L maintained the earlier strong momentum. AUM across our unsecured retail products were thus up by 31% Y oY.

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Moving on to our credit risk performance :

As you can see on slide number # 23, 90 -plus DPD in retail at 0.8% is within the narrow range we have maintained consistently over the last three and a half years.

Secured lending products had a stable quarter on most risk metrics.

The improvement seen for the overall unsecured businesses in Q4 FY25 has continued into Q1 and Q2 of FY26.

Trends for digital loans and microfinance improved significantly in Q2 FY26.

Unsecured business loans and used cars are the two pockets of the portfolio that need closer monitoring. Unsecured business loans risk was stable in Q2, even as it is at a slightly elevated level, similar to that seen in FY25. Used cars risk was stable quarter-on-quarter after an unusual uptick seen in Q1.

We had some favorable impact of ECL rebalancing in Q1 FY26. Adjusted for that, the credit costs were stable in Q2 versus Q1. Vikash will share more details on this in his commentary.

As shown on Slide # 20, our customer franchise grew by 23% Y oY to 5.2 million customers. We captured a significant portion of our customer originations for future cross -sale opportunities. In Q2, as unsecured disbursements picked up, we were able to keep our sourcing from cross -sell in the 25% to 30% range. We expect this number to further materially improve over the coming years.

As shown on Slide # 22, over the last 10 quarters, we have consistently reduced our retail OPEX -to-AUM ratio from 6.5% in Q4 FY23 to 3.9% in Q2 FY26. We thus met our medium -term guidance of 3.5% to 4% ahead of our expectation. We have now refreshed the retail OPEX -to-AUM target downward by 25 basis points to 3.25% to 3.75%.

As shown on the same slide, AUM yield in retail has been broadly stable at around 13.3%. The reported fee, which was impacted by the processing fee amortization in FY25, is gradually normalizing, led by stable underlying fee collection.

Overall, we remain confident about the continued steady scale -up of our multi -product retail lending business with consistent improvement in operating leverage and stable asset quality through the cycle.

With this, I hand over the call to Vikash.

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Vikash Singhla : Thank you, Jagdeep.

Since the inception of Wholesale 2.0 about three years ago, we have gradually built the book to Rs.11,295 crores today across our real estate and C MML strategies. During this period, we have disbursed Rs.20,000 crores across 330 loans. As you know, in our real estate strategy, we fund real estate projects where we have a total of 150 loans with a total AUM of Rs.8,608 crores.

CMML focuses on providing credit to mid-market companies across key sectors , and in this strategy, we have 60 loans with AUM of Rs.2,687 crores. The second quarter of FY26 was quite active for us. In Q2 FY26, our Wholesale 2.0 AUM grew by 43% year -on-year to Rs.11,

295 crores. We disbursed

Rs.2,043 crores across RE and CM ML segments. This was an increase of 11% Y oY in the origination. Origination per loan was Rs.59 crores during Q2 while disbursement amount was Rs.25 crores per loan.

The portfolio has an average ticket size of Rs.71 crores and a stable effective interest rate of 14.5% featuring a well -balanced asset duration and diversification. We continue to see tailwind across RE

and C MML segments and will grow this book in a calibrated manner through FY26. Repayments were almost 57% of disbursement during Q2 signifying better -than-expected performance of the book which continues to benefit from strong sector performance and quality partners and asset selection.

The legacy AUM are down by Rs.1,472 crores in H1 and this now stands at Rs.5,448 crores which is less than 6% of total AUM. We are on track to bring this book to below Rs.3,500 crores by the end of year as we guided initially.

Moving to our financial performance in Q2 FY26 :

We reported our consolidated net profit of Rs.327 crores with a growth of 101% Y oY over Q2 FY25 with net profit of Rs.163 crores.

Pro forma PBT for Growth business stood at Rs.344 crores , growth of 98% Y oY over PBT of Rs.173 crores in Q2 FY25. With Growth business, OPEX growth of 14% Y oY versus income growth of 36% YoY, Operating profit grew by 73% Y oY to Rs.687 crores.

In Q2 FY26, we reported growth business credit cost of 1.7% versus 1.4% in Q1 FY26 and 1.6% in FY25.

Net positive impact of ECL rebalancing in Q1 FY26 over Q2 FY26, which is 36 basis points explain this quarter -on-quarter movement in Growth business credit cost.

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With completion of PEL merger with PFL in Q2 FY26 , carry forward losses are now available at PFL at combined level. We were thus able to write back taxes which we booked over FY25 and Q1 FY26 for erstwhile PEL. In Q2 FY26, we reported a tax write -back of Rs.78 crores which includes DTA of Rs.35 crores. There were some exceptional expenses of Rs.81 crores during the quarter. This largely includes merger -related expenses of Rs.60 crores and one -off tax expense of Rs.21 crores. Our total GNPA and NNPA ratio stands at 2.6% and 1.8% respectively. Our networth stands at Rs.27,447 crores with capital adequacy at 20.7%. In Q2 FY26, our cost of borrowing reduced 19 basis point quarter -on-quarter to 8.9%. We continue to actively diversify our borrowing mix. Securitization and international borrowing shares stand at 18% while share of borrowing from mutual funds has increased , which is 13% versus 6% in March 2024.

With these remarks, I would now like to open the floor for questions. Thank you.

Moderator: We will now begin the question -and-answer session. We will take a first question from the line of Prithviraj Patil from Investec. Please go ahead.

Prithviraj Patil: Hi, so my first question is on the EIR on the portfolio wholesale 2.0. If you can just give the split between the fee and interest portion there and are we doing structured transactions like tier two developers here , because the IRR seems extremely high here.

Jairam Sridharan: No, we are not doing any structured transactions. These are pure operating loans. And so some of the old kind of structures which are back -ended or which are at Holdco level or M/s. level, etc. , none of those transactions are actually being done , these are plain vanilla loans. You can see that we are only doing Rs.2,000 crores of disbursement a quarter. So, it is not a massive number. And this level of business is available at 14%. So, it is not a problem. You do not have to chase structured transactions . Given our cost of funds, we will need to get a 14 %-ish IRR for the business to work. And hence, we are limiting our appetite to whatever we can get at that price point. And we are getting just enough to satisfy our appetite.

Prithviraj Patil: Okay. Yes. Thank you.

Thank you.

Moderator: Thank you. We will take our next question from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Jairam Sridharan: Hey, Avinash.

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Avinash Singh : Yes. Hi, Jairam. Good evening. My question is more on the capital side and growth plan. I mean, of course, on one hand, we are very, very, I would say less-levered for different issues and, of course, growing fast. So, if we see like, your Rs.1.5 lakh crore s kind of ambition by FY28, if again, if we see the network of Rs.27,500-odd crores, that looks kind of even for Rs.1.5 lakh crore s kind of AUM, it looks all right. But the current, of course, capital adequacy, that will have a lot of adjustments. Of course, that is putting at 21 %-odd. So, now if you were to consider that, okay, some of the capital release from legacy going away, some of the investment, you will be kind of able to monetize , so if you kind of explain how the sort of capital deployment , and of course, there will be organic profit generation , how is the journey of capital going to be in this your journey towards Rs.1.5 lakh crores eventually from which all sources will be organic profit , you say capital will get released, some more color on capital ?

Jairam Sridharan: Yes. Thank you, Avinash. So, your question contains all the right answers. That is exactly the way we are thinking about it. Your point is right. At Rs.27,500 crores as a starting point, getting to Rs.1.5 lakh crores without additional raise of capital should be possible in theory. But it does have some of

the important caveats that you mentioned, which is that we have a large investment book, larger than most NBFCs. So, we need to exit those investment books, that will release a lot of capital for lending. That is an important one for us to do. And of course, as the legacy book goes down, that can also get redeployed into our core Growth book. So, those will continue to be the important components. And as you can see now, our core profit generation engine has started firing more and more every quarter and you are seeing a steady improvement in ROAUM over the last four quarters, you will continue to see it in the future as well and all that will contribute to our capital as well. So, if we are able to get all of these things lined up, then we are probably not looking at a capital raise. Of course, certainly not this year, but likely not next year as well. But let us see. Never say never in these things. We are open to all possibilities, but it is unlikely that we will require any new capital infusion. As I have mentioned in the past, our internal threshold for evaluating the capital position more deeply is 18 %. If capital adequacy falls below that, we will internally start talking about it. I am not saying that we will immediately raise capital, but we will certainly get into the conversation on capital at 18 %. We do not want to get too close to the regulatory line. But given where we are and given all the levels that we just spoke about, including organic profit growth, I think we should be able to manage all through FY26 and FY27. But we will keep you posted on this on a regular basis. We also have some of the extra ordinary gains coming up, etc., which is baked into our profit guidance for the year. So, you know, on a full year basis, we have guided for Rs.1,300 to Rs.1,500 crores of profits, of which we have delivered Rs.600 so far in the first half. So, you should expect anywhere from Rs.700 crores to Rs.900 crores in the second half because we are reiterating that guidance. So, all that will contribute towards capital position as well. So, we feel fairly comfortable with where we are on this front.

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Avinash Singh: Okay, thanks. And one more, I mean, when I see your operating cost guidance, positively being a downward revised

to 3.25 % to 3.75 % for retail, so broadly, again, I am drawing that, okay, your 80 - 20 or 75 -25 ambition of retail -wholesale, at the aggregate level, a 3 -3.5 kind of OPEX -to-AUM is a fair assumption?

Jairam Sridharan: Yes, 3 to 3.25 I would say.

Avinash Singh: Okay, perfect. And lastly, on your Shriram investment, particularly in the general insurance side, so there are so much of media report also coming in. So, I mean, what options are open? I mean, is it a kind of a transaction with some strategic investor or even taking the company public among the options? Thanks.

Jairam Sridharan: I do not want to comment on this right now. You know all the chatter that is going on in this, all options are on the table. But we do not want to compromise our position by talking a lot about it publicly. Let it play out as it plays out.

Avinash Singh: Got it. Thanks.

Moderator: Next question is from the line of Kushagra Goel from CLSA. Please go ahead.

Jairam Sridharan: Hi, Kushagra.

Kushagra Goel: Hi. Thank you for taking my question. Majorly on the cost of funds side you have said that it is now below 9%. Would you give sort of some guidance about the medium term, where do you think this can go down to, and are you having some conversations with rating agencies, etc., to sort of bring this down?

Jairam Sridharan: Yes. So, firstly, let us talk a little bit about the decline that has happened this quarter. You have seen a 19 basis points decline in cost of borrowing this quarter. There is a little bit of optics there. I think 14 to 15 basis points is probably kind of the more realistic way of thinking about the decline because my Q1 cost of borrowing was overstated a little bit because we did a prepayment of a few loans in Q1 and prepayment penalties got applied. So, Q1 numbers are overstated. So, that is a three or four basis points is actually explained by that. So, I would say about 15 basis points have been the actual decline, right, in this quarter. But we have not seen a lot of action from banks yet. You can see that about 42% of our borrowing is from banks and bank MCLR's have not really come down that much. I expect that play to come only in Q4. My expectation is Q3, not much will change, Q3, we should remain roughly flat to Q2 on cost of borrowing, but Q4, you should see a decline, mostly led by the bank side with bank MCLR's starting to get cut by that time hopefully and it is starting to flow through

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to our numbers. So, my expectation is flat in Q3, down another, let us say, 10 basis points in Q4. That is kind of my medium -term expectation. All of this will give us a lot more benefit in the next year.

If, let us say, RBI reduces on the whole by about 120 basis points, I would guess that the impact to us will be about 70 basis points on cost of borrowing, of which we will probably pass on about 25 to 30 basis points to our customers based on the mix of variable and the rest could accrue.

Kushagra Goel: Okay. Got it. That is all.

Moderator: We will take our next question from the line of Pradyumna Ladda, an individual investor. Please go ahead.

Pradyum na Ladda: Thank you for taking my question. Ja iram, hi. Just starting on the previous question, just to follow up. Any conversations going on with the rating agencies?

Jairam Sridharan: Oh, yes. I forgot about that. Sorry, sorry. I forgot to respond to that part of the question. Ye s, yes. We are discussing with rating agencies kind of very regularly. Every quarter we are presenting our information to them. I have a call scheduled next week as well with our key rating partners. Let us see. See, the key question from rating agencies' perspective so far has been, yes, the business mix shift has checked all the boxes. Risk stability has come in. That is a check. Legacy book coming down and that is a check. And capital position being

ng strong . That is a check. Liquidity position being really strong and improving . That is a check. But the one area where we have not got a check so far is profitability and whether we can actually deliver profitability on a sustained basis. But with every passing quarter that is coming and at some point of time, I am sure the rating agencies will take a little bit of a forward -looking view and get constructive on our paper. Of course, I can not speak on their behalf. But I think with every passing quarter, our case is getting stronger. But we will continue to have discussions with the rating agencies in the hope of being able to convince them over the next few quarters.

Pradyum na Ladda: Understood. And the number of the 70 bps reduction in cost of borrowing you mentioned, that is all exclusive of any rating agency?

Jairam Sridharan: Of course , of course . That is outside of rating action. That is cyclical rather than structural. And by the way, that 70, I do not mean for that as a guidance , I'm just saying that that is my estimate , that if RBI cuts by 120 basis points, roughly 70 will come to us , that is an estimate based on historical data. But it depends on the banks what they do. It is not for me to say.

Pradyum na Ladda: Understood.

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Jairam Sridharan: Thank you.

Moderator: Thank you. Next question is from the line of Kamal from Jefferies. Please go ahead.

Jairam Sridharan: Hi Kamal.

Kamal : Hi sir. Thank you for taking my question. Sir, if you could just highlight firstly on the comments which were passed that there is still some caution in terms of unsecured business loans and used car loans. And also I was seeing that the 90 -plus has increased marginally for LAP as well. So , if you could just highlight some comments on the asset quality overall ?

Jairam Sridharan: Yes. Good question. See, I think and it is a good catch on LAP. Yes, there is something there to watch. See, the quarter has been very good for unsecured in general. So, unsecured risk has generally either stayed stable or taken a dip. So, you can see that in our PL numbers, our digital lending numbers, our micro finance numbers of course have fallen very steeply. But also unsecured business loans, which has been the flavor of the last couple of quarters. Even in unsecured business loans, you saw our delinquency fall. So, the quarter has actually been good on asset quality for most of the unsecured lending side. Things have been stable to improving. On the secured product side, it has been mostly stable. Used car, which gave us a little bit of a shock last quarter, has slightly marginally improved I would say. LAP, you are right, the delinquencies have gone up a tad during the quarter. But you should also recognize that LAP in absolute terms has been at super -duper low risk. If you look at the last three years' data here, LAP risk has been at the same levels or slightly lower than housing , whereas in LAP, we are getting almost 200 basis points higher yield. It does not make sense for LAP to remain that low risk for the higher yield that it is getting us. So, you are seeing a little bit of normalization there. And I do expect LAP's delinquency to be higher than HL. So, it is kind of reverting a little bit to that mean. Whether it is indicative of something underlying and whether there is a risk issue, it is too early to tell. But we are certainly seeing a reversion to a more average risk performance in the LAP business compared to the abnormally good environment that we have had for the last two and a half years.

Kamal: Okay. Thank you so much for that. And if I can ask one more question, in terms of our AUM expansion over the next few years, which are the products that we would be more focused on going forward? And if any new product which we are planning to add on?

Jairam Sridharan: So, you are going to continue

to see mortgages, which is HL plus LAP, continue to be the anchor part of our portfolio. But the share of mortgages is going to either remain stable or slightly go down. Right? So, that is what you should expect. We would like our unsecured lending business to go up. We have unsecured at about 17% of our overall book. We would like for that to be about 25% of Piramal Finance Limited

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overall book or about 30% of retail. The last year and a half, two years have not been conducive to increasing the share of unsecured given the risk environment. So, we have not actually increased it. It has remained stable. But in the medium term, we would like to see 25% of our overall book as

unsecured compared to the 17% today. So, that is something that you should expect to see. So, all our unsecured businesses, we will keep kind of finding ways to accelerate when the opportunity is right. In terms of new businesses, we have said this publicly before. So, we will restate the businesses that we want. Newly launched businesses that we want to scale is microfinance. And a new business that we do not yet have, but we are in the process of launching is gold. We will launch it, but we will be very slow. We are doing it organically. So, we will take it very slowly. So, as investors, you might not notice it for a while for a couple of years, because the scale is going to be really small. But as a management team, we have started work on it and we have put the team together and we got our strategy down and you will start seeing some execution in the second half of this year.

Kamal : Okay. Thank you so much for that. Just a follow up, if I could ask, what is your view on the overall gold loan portfolio? We are seeing a lot of aggression amongst all the NBFCs. Everyone has some aggressive plans to add branches over the next one to two years. So, what is your view on that portfolio as well?

Jairam Sridharan: See, gold is a little bit of a last bastion left in the lending space right now. It is a large product. Underlying product has not been monetized yet. So, the market size is still small compared to the overall potential. And the yields are still relatively attractive. And of course, cyclically, the gold is going through probably the best period in the cycle. So, it is natural that you are seeing a lot of interest. If the cycle goes down, you will probably see a lot of this interest fade away. That is okay like these things happen. But remember that for a product, we all know the size of holdings of Indian households, etc., all that data is known to everyone. The potential size of the market, the time is extremely large. And not enough people are in that market. The number of players in that market compared to, let us say, a microfinance market, where there are like 100 players chasing a 4 lakh crore opportunity, the number of players in gold is still very, very low. It is natural that you will see more competition. And it is also natural that as more competition comes in, the economics of the business will deteriorate a little bit. All those things you have to assume. And you should also take into account the fact that the business is at a cyclical high right now. And it can only get worse from here. It cannot get any better. So, whoever is getting into this business today should absolutely keep in mind that the economics next year are going to be worse than the economics this year in this business. So, we are fully aware of all these dynamics. We will conservatively and very slowly build it. And if it does not work out, it does not work out. We are not wedded to the idea. But it is an important product for our customer segment. So, it is something that we want to own.

Kamal : Okay. Thank you so much for all the answers.

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Jairam Sridharan: Thank you.

Moderator: Next question is from the line of Prithv

iraj Patil from Investec. Please go ahead.

Jairam Sridharan: Hi, Prithviraj.

Prithviraj Patil : Thanks for the opportunity. So, my first question is on the \$140 million contingent income that is supposed to be coming in this year from Piramal Imaging. I just wanted to know if there is any update on that or are we expecting that to come for the next year?

Jairam Sridharan: Yes, it will come this year. There is no update. The transaction is completed. But the way the transaction works is the consideration is due to us only in Q4. The actual exact amount calculation will happen based on calendar year '25 numbers. So, once calendar year '25 gets over, they will calculate the numbers and the exact consideration will get finalized. So, we continue to expect the consideration to come to us in Q4 of our fiscal. So, nothing has changed on that front. There is nothing new to report on that situation. The transaction completed in July of this year. So, not much has happened since then.

Prithviraj Patil: Okay. And another question on page 22 of the slide we have mentioned something that the amortization fee dropped in FY25 and FY26 compared to FY24, because there was an amortization processing fee. Just wanted clarification why we were not amortizing it earlier?

Jairam Sridharan: Yes, we were not amortizing it earlier. There are some historical reasons for that. The fee income line was so small in the earlier years that it did not seem to matter. And the auditors also did not insist on it because the amounts were too small. And for some historical reasons, it was not getting amortized. But in FY25, starting April 1, 2024, we started amortizing it. So, you saw a big dip in our fee income earning in FY25. And since then, because the back book has slowly gotten created, you have seen that fee income line slowly move up. So, that means there is no particular reason for why that date was chosen. It is just that the book had become large enough at that time and the fee income line had become large enough that it made sense to do a more standardized kind of accounting approach there.

Prithviraj Patil: Yes. A last question on the one-time expense that we have taken it mentions that there is a one-off tax expense of some Rs.60 crores of expense related to the merger. So, if you could just throw some light on the expense?

Jairam Sridharan: Vikas, you want to talk about that?

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Vikash Singhla : On merger cost, we have to pay Rs.50 crores as a stamp duty on various assets which are moving and Rs.10 crores are like professional fees. Regarding this Rs.20 crores, this pertains to that Imaging gain which we sold way back in 2018. The tax assessment has been concluded in this quarter leading a demand of Rs.21 crores.

Jairam Sridharan: I hope that explains the total Rs.81 crores.

Prithviraj Patil: Okay. Ye s. Thank you.

Jairam Sridharan: Thank you.

Moderator: Thank you. Next question is from the line of Mayank Mistry from JM Financial. Please go ahead.

Jairam Sridharan: Hi, Mayank.

Mayank Mistry: Yes. Hi, sir. Thanks for the opportunity. Sir, I had a question on the wholesale book. Mainly, in the CMML A UM by ratings that we have given on slide number 29, we see that less than 70% of the book you have is below A - rated in the CMML book. And over the last few years, we have seen that a lot of NBFCs have actually moved out of this segment completely or they are doing it very conservatively to only the A and better rated companies. So, what gives you confidence to do fresh disbursements in this book?

Jairam Sridharan: So, Mayank, the point you are making about A and below or BBB plus and below, let us say, or the entire BBB family, that is the play for a non -AAA -rated NBFC today. If you are a AAA -rated NBFC, then you can go lend to a AA -rated company or an A -company or an A -plus company. But if I am a AA-ra

ted NBFC, which is what we are, I cannot lend to an A or A plus company. There just is not enough, like the difference in cost of fund for us and for them is not large enough for us to actually lend to them. So, our game is always going to be two notches below where we are. And we are AA, so our two notches below is going to be BBB plus. So, BBB is generally going to be the area for an NBFC like us. Of course, if I am a Tata Capital or an Aditya Birla Capital or a Bajaj Housing, I might have a different play. I can actually target A -rated entities and lend to them as Piramal Finance, that is not our game. Our game is very much in BBB. We are priced for it because we are charging 14%, right? So, we are priced for it. We are doing operating loans. We are keeping ticket sizes really small. In this business, we are keeping ticket sizes at Rs.50 crores. So, ticket sizes are small. Tenors are short. It is unstructured. The deals are plain vanilla, right? And yield is strong enough. So, that is why the businesses turned out to be quite profitable in the last two to three years. Let us see how this plays out. The size might not be very big of this opportunity. So, even in the long -term future, you Piramal Finance Limited

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might never see us get beyond let us say Rs.10,000 crores. We might not be able to grow the business beyond that. But till that size, opportunity is available for this type of business.

Mayank Mistry: Okay, sir. Got it. But what would be the similar mix for the real estate book then?

Jairam Sridharan: For rating? In real estate, SPV will be made. So, there is no question of rating there. Those SPVs will not be externally rated.

Mayank Mistry: As per risk, I mean

Jairam Sridharan: See, you put the same fund at that where 14% business is possible, that is the business that we will do. And if the business is doable only at 11% or 12% at our current cost of funds, that might not work.

God willing, if we are able to get a rating upgrade, etc., we might be able to actually target slightly better risk profiles as well. But today, pure operating projects where all approvals are there, where no structuring is required and lending at the project level, not to hold co -entities, etc., in an unstructured fashion for a relatively short duration, that 's where we want to enter. And the ticket sizes need to be on average less than Rs.200 crores. Those are our constraints. Within those constraints, we still believe, let us say Rs.20,000-25,000 crore s opportunity can get created, AUM of that size can get created. We are still far away from there, but we can see in the Rs.4 lakh crore s AUM market that real estate is. We think this opportunity without something like a Rs.20,000-25,000 crore s we can create. So, we will keep working towards that outcome. In the interim, if we are able to get a rating upgrade, etc., and we are able to go to even better ra ted clients, even better, but for now, we believe our current strategy can get us to that size.

Mayank Mistry: Okay. So, nearly you want to make a spread of 5 -6% at least in this book, right?

Jairam Sridharan: Yes, exactly. Without that the math will not work out. Having said that, I also want to hasten to add that we are not also kind of going out there yield chasing. It is not like we are chasing an 18% business, which kind of let us say distressed funds or some other special funds might be tackling with highly structured transactions. We are not in that market. We are in a very narrow band of interest rate where we want operating asset loan, we do not want structured loan. So, we are not in the structured market. So, you will not see in the let us say 17-18% range where you see a lot of funds.

Mayank Mistry: Okay, sir.

Moderator: Thank you. Next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Jairam Sridharan: Hey, Abhijit.

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Abhijit Tibrewal: Thank you. Hi, sir. Good evening. So, again just some on asset quality we have already spoken about it, but just double checking with you. Today, none of the retail segments where we are present we are seeing any risks so as to say, right, I mean, risks which were there may be a quarter, two quarters back, right, they kind of continue at the same levels, but in this quarter, we have not seen any of the other retail products segment exhibit a higher risk, is that a fair understanding?

Jairam Sridharan: Correct. Yes, that is fair. So, yes, I mean, the big increase in retail product all happened in Q2 and Q3 last year. You saw a slight reduction in Q4 and things since then have been stable at that level. So, Q4, Q1, Q2 have been relatively at the same level, nothing much has happened. And that is true in delinquency, that is true in credit costs kind of across all risk metrics that has been true. I will also say that businesses like unsecured business loans or kind of MSME unsecured where risk reached a certain peak in Q3 last year, they have not come down from that peak. So, things have not gotten significantly better in MSME unsecured. It is stable, but it has not gotten better. So, I do not want us to start celebrating too quickly on this front. But yes, nothing has gotten worse this quarter. This quarter has by and large has been neutral to positive on all product categories.

Abhijit Tibrewal: Okay. And lastly, I mean, mortgages which is home loans and LAP, right, LAP in itself at an industry level probably we are seeing the kind of growth that we have never seen earlier. So, one of the other things that keeps getting discussed is, are we seeing some consolidation of unsecured loans into a secured loans which is LAP product today? And at the same time even home loans for us you will acknowledge has been very strong and while we are not seeing that at an industry level mortgages going. So, if we talk about we are not really doing prime, the means that we have in home loans, right, I will not really call them very small ticket home loans either, but they are somewhere in between, right, between prime and what we call as small ticket affordable loans, so, is this a segment which is doing particularly well and which is where we are seeing such strong growth in home loans or how would we want to explain that -

Jairam Sridharan: That is a good observation.

Abhijit Tibrewal: It is still struggling.

Jairam Sridharan: Yes, it is a very good observation. Honestly, we are also kind of trying to understand this deeper like how are we getting this kind of growth in a market when everybody else is struggling or many others are struggling. But I think the point you mentioned in your question, Abhijit, is the core part of the answer. This segment that we are in which is kind of that in-between segment, not the larger ticket prime stuff but not the very small ticket affordable housing stuff either that in-between segment that semi-urban India is doing well. If you see kind of data from CIBIL etc., as well semi-urban is where most of the growth is happening. The overall business is growing at 8% or 9% for the industry, but Piramal Finance Limited

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if you split it by semi-urban, urban and rural you see that semi-urban is where most of the growth is. As it happens Piramal is totally focused on semi-urban. That is our game. And so we are actually getting that tailwind because of the segment choice and geography choice that we have. And on top of that some of the work that we have done in using technology and AI has created what we internally think of as like super highways where kind of sales managers and kind of sales staff productivity can be really, really high because applications that come into the system are on a super highway where there are no bottlenecks kind of thing

so flow a lot more quickly, etc., So, conversions are better for us overall. So, certainly our investments in technology and AI are helping in converting a lot more of the leads and potential interest into final business.

Abhijit Tibrewal: Got it. So, just one last follow-up. When you spoke about LAP, this sub-segment, right which is micro-LAP and we have seen what is happening at the industry level especially small-ticket LAP loans may be less than 1 million, so I mean would you like to comment on what is really happening, is the risk getting better or are we in that part of a cycle where maybe it will take a few more quarters for things to start getting better? Why I ask is we spoke about UBL, we spoke about MFI risk, right, and looking stable to getting better at some point in time. Likewise I mean micro-LAP I mean are we seeing something?

Jairam Sridharan: Micro-LAP I think will get worse, it will not get better in the short term, it will get worse. See, we have a small micro-LAP business, we just have a couple of hundred crores, so we do not have much of a micro-LAP business, we just started it a year ago but I can see the signs there the situation is tough. So, I would expect that business to be under some stress for a couple quarters at least and I do not see it in the same space as where UBL is or where micro finance is which I think micro finance 100% the worst is behind, UBL you could argue that it is still at the peak not on the other side of the hill, but micro-LAP I do not think has reached the top of the hill yet, I think it will get worse before it gets better

Abhijit Tibrewal: Got it. Very useful sir. Thank you very much and I wish you and the team the very best. Festive greetings.

Jairam Sridharan: Thank you, Abhijit.

Moderator: Thank you . Ladies and gentlemen we will take that as the last question for today I would now like to hand the conference to Mr. Ja iram Sridharan for closing comments . Over to you , sir

Jairam Sridharan: Thank you very much everyone for participating in the call . I know it has been a very busy day and there are a lot of FS companies that are declaring results . We appreciate and are grateful for the time that you have taken to understand Piramal's numbers Thank you for participating , and on behalf of Piramal Finance Limited
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the Piramal family we would like to wish all of you a very Happy Diwali and Festive Season. Thank you very much and have a good evening .

Moderator: Thank you members of the management team . On behalf of Piramal Finance Limited that concludes this conference Thank you for joining us and you may now disconnect your lines .

Call: Nov 2025

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Call: Jan 2026

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Call: Apr 2026

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